

these refining losses, showed profits from producing operations at a steady rate from June 1, 1933, to the end of 1938.

In 1939, however, the New York Stock Exchange called upon the company to correct its statements to stockholders by advising them of the effect upon the reported profits of charging there-against the write-downs of the investment in the refining company. These losses would have reduced the indicated profits by more than one-third.

It is clear, from the standpoint of proper accounting, *that as long as a company continues to control an unprofitable division*, its losses must be shown as deductions from its other earnings. The analyst must decide what the chances are of terminating the losses in the future, and view the current price of the stock accordingly. The method followed by the Barnsdall Oil Company appears therefore clearly open to criticism, since it served merely to terminate the *reporting* of its refining losses without really terminating the losses themselves. (At the end of 1939 the company set steps into motion for an apparent complete divorcement and sale of the refining and marketing divisions.)

Summary. To avoid leaving this point in confusion, we shall summarize our treatment by suggesting:

1. In the first instance, subsidiary losses are to be deducted in every analysis.
2. If the amount involved is significant, the analyst should investigate whether or not the losses may be subject to early termination.
3. If the result of this examination is favorable, the analyst may consider all or part of the subsidiary's loss as the equivalent of a nonrecurring item.